

September Close: Budget vs. Actual Commentary

To: Marcus Bell, CFO · From: Daniel Cournane, FP&A · October 7, 2026

BOTTOM LINE

September operating income was \$618K against a \$1,629K plan, (\$1,011K) or (62%) unfavorable. Four items drove the miss: the CloudConnect expo, budgeted for October but held in September (\$338K); higher commissions from strong bookings (\$244K); two implementation milestones that slipped to October and November (\$229K); and one-time litigation fees (\$168K). About 82% of the variance is timing or one-time and will reverse or not recur. The exception is run-rate: Halvorsen Freight terminated on 9/1, removing \$116.7K of monthly subscription revenue (~\$350K in Q4).

SEPTEMBER DRIVERS

1. Events & Conferences (Marketing) +\$338K U (614%) · TIMING

The CloudConnect expo (Sep 22–24, \$318K) was budgeted for October but held in September. October Events should land ~\$365K favorable, and the event itself ran ~\$47K under its own budget.

2. Sales Commissions (Sales) +\$244K U (67%) · VOLUME / ONE-TIME

A cost of outperformance: bookings of \$4.48M vs. \$3.29M plan added \$130K at the 11% rate, plus a \$114K Q3 accelerator true-up. The plan funds \$0 for accelerators, so expect a December true-up if Q4 beats plan.

3. Professional Services Revenue (\$229K) U (29%) · TIMING

Two milestones slipped for customer-side reasons, ~\$220K: Atlas Manufacturing UAT (SSO delay, now October) and Pinecrest Health go-live (data not ready, now November). Pinecrest carries the higher risk of slipping again.

4. Legal Fees (G&A) +\$168K U (373%) · ONE-TIME

Whitford & Lane fees of \$176K for the Brightpath (former reseller) contract dispute, settled 9/26. To confirm with Legal: no settlement payment still to come.

5. Hosting & Infrastructure (Cost of Revenue) +\$165K U (17%) · MIXED

Frankfurt migration dual-run \$96K (one-time, ends October); Cirrovane reserved instances lapsed 8/31, adding a \$45K on-demand premium (run-rate until renewed); ~\$24K underlying creep, growing ~\$4K a month. Q4 exposure: \$192K–\$446K.

6. Recruiting (R&D) +\$58K U (265%) · ONE-TIME PER HIRE

Agency fees for three Sr. Engineer hires (\$68.5K). With 19 R&D reqs still open, more fees are likely against \$57K of Q4 budget, and new salaries (~\$28.5K a month for these three) will shrink the R&D underspend.

WATCH ITEM: SUBSCRIPTION CHURN · RUN-RATE

Subscription revenue looks on plan, down only \$74K (0.7%), but it masks the biggest forward risk. Halvorsen Freight terminated on 9/1 (\$116.7K a month, \$1.4M ARR), pushing September churn to \$1.71M vs. \$450K plan. Closing ARR finished \$292K below plan even though bookings beat by \$1.19M. Q4 impact: ~\$350K of lost revenue.

YTD VIEW

YTD operating income is \$38K favorable, but only because R&D is \$1.35M under budget from unfilled roles. Excluding R&D, the business is ~\$1.3M behind plan, with revenue, cost of revenue, S&M and G&A all unfavorable. As the 19 open R&D roles fill, that cushion shrinks and the underlying miss will show. Contractors backfilling open R&D roles (+\$36K in September) already offset part of it.

Q4 REFORECAST FLAGS

- 1 Reforecast October Events at ~\$55K, not \$420K: CloudConnect is already spent (~\$365K).
- 2 Lower Q4 subscription revenue by ~\$350K for the Halvorsen loss, and lower the year-end ARR forecast.
- 3 Renew Cirrovane reserved instances this month (Engineering + Procurement) to stop ~\$45K a month; carry \$192K–\$446K of hosting exposure until then.
- 4 Budget ~\$255K of extra Q4 commissions if bookings beat plan by Q3's ~15%; about half is a December accelerator the plan doesn't fund.